



eNPA

NON-PROFIT ORGANIZATION ACCOUNT

MUHAMMAD ZAKI BIN AB. MULUK
ZARIYAH BINTI ABDULLAH

Introduction

A Non-Profit Organization Account refers to the accounting system used by organizations that operate to provide services and benefits to the public or their members rather than to earn profit. These organizations include charities, clubs, religious institutions, educational societies, and non-governmental organizations (NGOs).

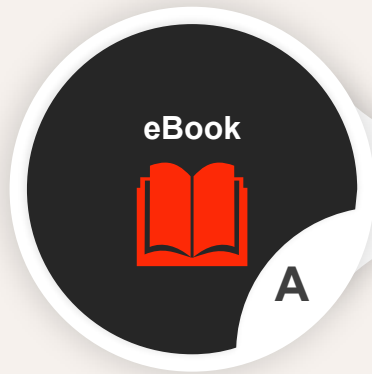
The main purpose of this accounting system is to record financial transactions accurately, ensure transparency and accountability, and show how funds such as donations, grants, sponsorships, and membership fees are utilized. Unlike business organizations, non-profit organizations do not distribute profits to owners or shareholders. Instead, any surplus earned is reinvested into the organization to support its activities and objectives.

Non-profit organizations usually prepare several financial statements, including the Receipts and Payments Account, Income and Expenditure Account, and Balance Sheet or Statement of Financial Position. The Receipts and Payments Account records all cash received and paid during a specific period, while the Income and Expenditure Account determines whether the organization has a surplus or deficit. The Balance Sheet shows the organization's assets, liabilities, and accumulated funds.

Proper accounting practices are important for non-profit organizations to maintain public trust, ensure responsible management of funds, and support effective decision-making for future programs and activities.



Select your option



eBook Here



Game Here



Quiz Here



Exercise Here

Question

Following are Receipt and Payment account Chess Club for the year ended 31 August 2024.

Receipt and Payment Account

	RM		RM
Balance b/d	3 200	Club's worker salary	1,300
Tournament fees	690	Utility	380
Entrance subscriptions	2,300	Sports equipment	4 500
Subscriptions	11,800	Maintenance expenses	1,460
Lockers rent	1,000	Rental – Hall	2,000
Sales - drinks	3,490	Trophies and prizes	860
		Purchases - drinks	2,198
		Balance c/d	9,782
	<u>22,480</u>		<u>22,480</u>
Balance b/d	9,782		



Additional information:

(i) Balance of assets and liabilities are as follows:

	1 Sep 2023	31 Aug 2024
Sports equipment	30,000	?
Stock – Drinks	1,890	2,560
Accrued lockers rent	-	145
Accrued subscriptions	350	790
Prepaid subscriptions	480	600

(ii) Entrance subscriptions is assumed as capital receipt.

You are required to prepare:

- (a) Subscriptions account
- (b) Trading Account for the year ended 31 August 2024
- (c) Income and expenditure account for the year ended 31 August 2024
- (d) Statement of Financial Position as at 31 August 2024

Game

Mix and Match

Subscription Account					
1/9/2023			1/9/2023		
31/8/2024			31/8/2024		



11,800	Balance c/d	Balance b/d	Balance c/d
Bank	350	790	480
600	12,120	Income & expenditure	Balance b/d

Game

Mix and Match

Chess Club			
Trading Account for the year ended 31 Aug 2024			
	3490		3490

Sales

3490

2198

Opening stock

4088

Profit

Purchase

(2560)

Cost of sales

(-)Closing Stock

3490

1528

1962

Game

Mix and Match

Chess Club			
Income and expenditure account for the year ended 31 Aug 2024			
	15, 917		15, 917

Club worker salary

860

Utility

Maintenance expense

Rental - hall

Trophies and prizes

Surplus

Tournament fees

Subscriptions

Lockers rent

Profit - drinks

1300

380

1460

2000

1962

9917

12120

690

1145

Chess Club		
Statement of Financial Position as at 31 August 2024		
Non-current Assets		
Current Assets		
	13,277	13,277
		47,777
Owner's Equity		
Current Liabilities		
		47,777

continue

Sport
equipment

600

Closing stock

2300

47177

Cash

34960

9917

Accrued
lockers rent

145

790

Accrued
subscription

2560

9782

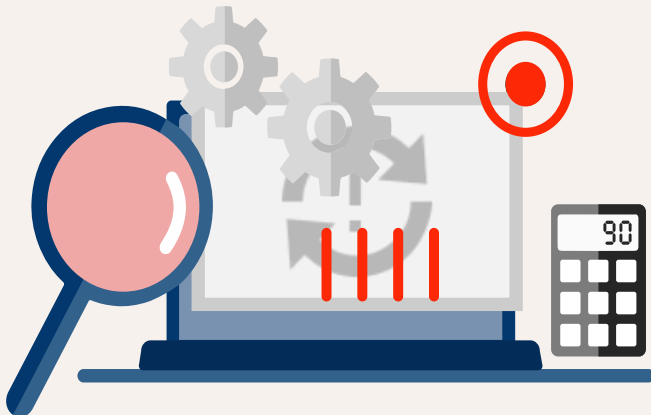
Entrance
subscriptions

Accumulated
fund

34500

Prepaid
subscriptions

(+)surplus





THANK YOU

NON-PROFIT ORGANIZATION ACCOUNT